

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-13

**AMERICAN IRON & METAL
COMPANY INC.,
COMPLAINANT,

v.

PRIVA LOGISTICS, INC.,
RESPONDENT.**

**PRIVA LOGISTICS, INC.'S
PROPOSED FINDINGS OF FACT**

1. Priva is a U.S.-based non-vessel-operating common carrier (“NVOCC”) with FMC Organization and License Number 025540.
2. On or about May 27, 2021, a company called “American Iron & Metal USA Inc. (“AIM USA”)” into a Letter of Guarantee and Indemnity (“LOI”) with Priva. RX 13.
3. The LOI was executed by Katherine Serrato on behalf of “American Iron & Metal USA Inc” (“AIM USA”). RX 13.
4. The LOI required that AIM: (1) correctly declare the cargo shipped; (2) have its consignee immediately retrieve the cargo from the port of destination during free time; and (3) indemnify Priva and guarantee and pay for any and all loss, damage, or expense including, but not limited to demurrage, detention, storage, destination fees, port charges, collect surcharges, disposal fees, re-export charges, customs penalties, and related charges at the

port of discharge caused by any delay or failure of the consignee to take delivery of the cargo within free time. RX 13.

5. Katherine Serrato worked in AIM's headquarters in Montreal, Canada, with AIM's logistics department employees including AIM's Vice President of Logistics, Mr. Mark Hudson. CX 446 (Hudson Depo. p. 20:15-22); CX 459 (Hudson Depo. p. 70:21 – p. 72:9).
6. Katherine Serrato's email address was "kserrato@aim-global.com". RX 43.
7. On August 2, 2024, Priva was notified by AIM that "Katherine [Serrato] is no longer with AIM." RX 42.
8. Mr. Hudson testified that he had seen the LOI "[w]hen I reviewed the file. And this is some four and a half, five years ago, so maybe – yeah, maybe it – obviously it relates to when we first were introduced or we first heard the name Priva." CX 458-59 (Hudson Depo. p. 68:12 – p. 69:5); RX 13.
9. Based on the LOI, it seemed to Hudson that AIM's business relationship with Priva started somewhere around 2021. CX 459 (Hudson Depo. p. 69:2-5).
10. AIM and AIM USA share that nearly identical company logos, which "look[] the same" according to Mr. Hudson. CX 459 (Hudson Depo. p. 70:5-19); RX 13.
11. Mr. Hudson testified he did not know if AIM USA had its own website. CX 460 (Hudson Depo. p. 73:21-22).
12. "AIM Global" has several "divisions" or affiliated companies, including: (1) AIM Recycling; (2) AIM Kenny U-Pull; (3) AIM Eco-Center; (4) AIM Global Solder Solutions; (5) AIM Minesource; (6) AIM Delsan; and (7) Honeycomb. CX 448 (Hudson Depo. p. 28:9-12); CX 449 (Hudson Depo. p. 31:6-9); RX 52-53.

13. Priva has acted as intermediary in arranging bookings for the following AIM entities in the past: American Iron & Metal Co. Inc.; American Iron & Metal Cleveland LLC; American Iron & Metal USA Inc.; AIM International LLC; AIM Recycling Hong Kong Co., Ltd.; and AIM Global. RX 2 (Dutta Declaration ¶ 7).
14. AIM Recycling was founded in 1936 and is “a division of American Iron & Metal (AIM) is a family-owned Canadian company that has become one of the world’s leading metal recyclers.” RX 45-68.
15. AIM Recycling has a location located at 785 East M. Street, Colton, California, 92324. RX 65; RX 44; CX 6 (signature block of Melinda Walker, employee of AIM Recycling).
16. Mr. Hudson testified that the cargo at issue in the Malaysia Shipments was purchased from AIM USA and loaded into the subject containers by “people in the yard at AIM USA,” which is located in Colton, California. CX 470 (Hudson Depo. p. 113:22 – p. 115:5).
17. AIM Recycling’s website is www.aim-recycling.com. RX 65, 68.
18. The email address domain names for all AIM employees that communicated with Priva concerning AIM’s shipments were “@aim-global.com” or “@aim-recycling.com.” *See e.g.*, CX 5-6; CX 16-17; CX 18-20.
19. Individuals with “@aim-recycling.com” email address domains would request shipment bookings on behalf of “AIM Montreal” and “AIM Canada”, including the Malaysia Shipments. CX 5-6; CX 16-17; CX 18-20; RX 42-44.
20. During his deposition as the corporate representative of AIM, Mr. Hudson was asked whether “someone who has an AIM Recycling email address” has “a different employer than someone with an AIM Global email address?” Mr. Hudson answered, “I couldn’t honestly tell you the answer to that question.” CX 450 (Hudson Depo. p. 33:1-7).

21. AIM and AIM USA are in the same general line of business. CX 451 (Hudson Depo. p. 38:12-16).
22. Based on its business dealings with AIM, AIM had “several companies” that would take bookings and remit payment to Priva on behalf of each other for Priva’s shipments. Priva understood AIM USA to be a subsidiary of AIM and that AIM USA and AIM “have joint operations, but it’s the same company.” Priva further understood AIM USA and AIM to be the same company because AIM has a “bunch of companies. But their operations are all, like, united, joined. They have many, very many companies and different subsidiaries.” CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-3 (Dutta Declaration ¶¶ 3-9).
23. Considering the nature of Priva’s business dealings with AIM’s various companies it was Priva’s belief that the LOI was intended to apply to AIM and its affiliated and/or related companies because their operations were united and joined. CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-3 (Dutta Declaration ¶¶ 3-9).
24. Because individuals with “@aim-global.com” and “@aim-recycling.com” email address domain names would frequently be included on emails between AIM and Priva, Priva believed that these individuals all worked for AIM. RX 1-3 (Dutta Declaration ¶¶ 3-9).
25. Based on the findings of fact above, AIM and AIM USA were indistinguishable entities that effectively operated as one company with regards to its business dealings with Priva, the LOI, and the Malaysia Shipments.
26. On or about January 26, 2024, AIM entered into a contract (contract no. 2401-4697) with GSM Supply Sdn. Bhd. (“GSM”) for sale of “**ZORBA 98-3**”, with a specification of “98%

metallic and 3% reds” to be delivered to Port Klang West, Malaysia. CX 1 (emphasis added).

27. For reasons not detailed therein, the GSM sales contract provided that the Zorba material sold to GSM was instead to be described as “Aluminum Alloys” with an HS Code of “7601.20.0000” on the bill of lading. CX 1.
28. The GSM sales contract provided that the Zorba material sold to GSM was to be shipped to GSM as the consignee for the shipment in 10 containers. CX 1.
29. On or about January 26, 2024, AIM entered into a contract (contract no. 2401-4696) with Rising Streams Sdn. Bhd. (“Rising Streams”) for the sale of “**ZORBA**”, with a specification of “98% metallic and 3% reds” to be delivered to Port Klang West, Malaysia. CX 2 (emphasis added).
30. The Rising Streams sales contract also provided that the Zorba material sold to Rising Streams was instead described as “Aluminum Alloys” with an HS Code of “7410.22.0000” on the bill of lading, though no reason for this altered description was provided therein. CX 2.
31. The Rising Streams sales contract provided that the Zorba material sold to Rising Streams was to be shipped to Neptune Metal Trading (“Neptune”) as the consignee for the shipment in 10 containers. CX 2.
32. On January 26, 2024, AIM requested that Priva generate two bookings for the transportation of the Zorba material sold by AIM to GSM and Rising Streams, respectively, from Los Angeles, California, to Port Klang West, Malaysia. CX 5-6.
33. Nowhere on these instructions by AIM will the Presiding Officer find the word “ZORBA”; AIM instead instructed Priva to declare the Zorba material being shipped as “aluminum

- alloy” with an HS Code of 7601.2 on the bills of lading for each shipment and, in turn, Priva provided AIM with booking confirmations for the two shipments under booking numbers NAM6677014 and NAM6677015. CX 4-12; CX 16-20.
34. Discovery revealed the packing list and invoice issued by AIM to its customer, Rising Streams, for booking number NAM6677014 describes the commodity sold and shipped as “ZORBA.” CX 21-22; CX 25-27.
35. Discovery further revealed the packing list and invoice issued by AIM to its customer, GSM, for booking number NAM6677015 describes the commodity sold and shipped as “ZORBA 98/3.” CX 23-24; CX 28-30.
36. During his deposition as corporate representative of AIM, Mr. Mark Hudson reviewed photographs of the cargo within the containers at issue as loaded. CX 470-71 (Hudson Dep. pp. 115-119); RX 14-33.
37. Mr. Hudson testified that the Zorba material sold by AIM to GSM and Rising Streams was a mixture of separate pieces of aluminum, brass, and/or copper. CX 471 (Hudson Depo., p. 118:1 – p. 119:5); *see also*, CX 529 (Hudson Declaration, ¶¶ 8-10).
38. The Zorba material sold by AIM to GSM and Rising Streams was “for remelting, so it would constitute an alloy when melted.” CX 471 (Hudson Depo., p. 119:12-13).
39. “Alloy” is defined as “a substance composed of two or more metals or of a metal and a nonmetal intimately united usually by being fused together and dissolving in each other when molten.” *Alloy*, merriam-webster.com, <https://www.merriam-webster.com/dictionary/alloy> (last visited May 26, 2026). 46 C.F.R. § 502.226.¹

¹ Pursuant to 46 C.F.R. § 502.226, the Presiding Officer may take official notice of such matter as might be judicially noticed by the courts, or of technical or scientific facts within the knowledge of the Commission as an expert body.

40. The Zorba material sold by AIM to GSM and Rising Streams was not melted together at the time it was sold or shipped. Rather, the metal material sold by AIM was comprised of pieces of aluminum and “free pickable” pieces of copper and/or brass, which were separate and apart from the pieces of aluminum. CX 477-478 (Hudson Depo. p. 118:1 – p. 119:22; p. 144:21 – p. 145:9); RX 14-33; CX 529 (Hudson Declaration, ¶¶ 8-10).
41. As it was not melted together, the impact is that the Zorba material sold by AIM was not metal alloy because it was comprised of separate, discrete pieces of aluminum, brass, and/or copper. CX 471, 477-478 (Hudson Depo. p. 118:1 – p. 119:22; p. 144:21 – p. 145:9); RX 14-33.
42. “Harmonized Code” means the coding provisions of the Harmonized System. 46 C.F.R. § 520.2; 46 C.F.R. § 502.226.
43. “Harmonized System” means the Harmonized Tariff Schedule of the United States, published by the U.S. International Trade Commission, and Schedule B, administered by the U.S. Census Bureau. 46 C.F.R. § 520.2; 46 C.F.R. § 502.226.
44. According to Mr. Hudson, HS Codes are “a designation of material” used when shipping materials. CX 456 (Hudson Depo. p. 58:5-10).
45. The HS Codes assign specific numeric codes for “aluminum alloys” (7601.20) and “aluminum waste and scrap” (7602). RX 69-79;² 46 C.F.R. § 502.226; *see also* CX 479 (Hudson Depo. p. 149:14-19).

² Although the Harmonized System’s HS Codes are within the general knowledge of the Commission as an expert body (*see* 46 C.F.R. § 520.2) and do not require production (46 C.F.R. § 502.226(b)), a copy of the relevant HS Codes are provided here the Presiding Officer’s ease of reference.

46. AIM's determination to assign a specific cargo description and HS Code for the materials it shipped was based on two considerations: "First of all, the request of the customer, and secondly, our assessment that it fell within the category, satisfactory request fell within the category." CX 478 (Hudson Depo. p. 147:15 – p. 148:2).
47. Mr. Hudson testified that AIM's operations personnel are trained on cargo classification under the HS Codes and conduct AIM's secondary assessment of the customer's request. If AIM is unsure about the proper cargo classification, its policy was to consult the "HS codes bible, handbook, whatever and make sure that it was correct." AIM also does a visual inspection and takes photographs of the cargo it ships as part of this process. CX 456 (Hudson Depo. p. 60:5 – p. 61:21).
48. With regards to the Malaysia Shipments, however, AIM did not follow its own policies and instead relied solely on the representations of its customer, Rising Streams, to AIM's sales team when selecting the cargo description and HS Code for the NAM6677014 containers and took no other actions to verify that classification was correct. AIM's sales team is not trained on the HS Codes. CX 480-481 (Hudson Depo. p. 156:1 – p. 157:2) (discussing Hudson Depo. Exhibit 9 (RX 80-82)).
49. On or about February 23, 2024, CMA CGM issued two sea waybills for the Malaysia Shipments under bill of lading numbers NAM6677014 and NAM6677015, each covering ten (10) containers. CX 31-38.
50. Both sea waybills contained cargo descriptions of "Aluminum Alloys" (on sea waybill NAM6677015) or "Aluminum Alloy" (on sea waybill NAM6677014) with the HS Code of 7602.20. CX 31-38.

51. The booking confirmations for the Malaysia Shipments sent to AIM on January 29, 2024, contain applicable bill of lading clauses governing the shipments. *See* CX 9 (NAM6677014) and CX 12 (NAM6677015).
52. Bill of lading clause 6 found on both booking confirmations reads, in pertinent part, “The Shipper warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked on receipt of this Bill of Lading and that such particulars, and any other particulars furnished by or on behalf of the Shipper, are adequate and correct. ...in case of any failure of the Shipper to comply with the above, the Carrier shall be entitled to charge the Shipper, or any party which is jointly liable with the Shipper, at any time an amount of USD 2,000 as processing and operational fees in addition to a penalty of...5,000 per non dangerous container misdeclared.” CX 9, 12.
53. Bill of lading clause 366 found on both booking confirmations reads, in pertinent part, “366. The Merchant warrants that the particulars relating to the Goods have been checked and that such particulars are adequate and correct.” CX 9, 12.
54. The sea waybills issued by CMA CGM for the Malaysia Shipments also expressly incorporate bill of lading clause number 366. CX 34, 38.
55. Failure to comply with bill of lading clause 366 can result in the assessment of fees and penalties by CMA CGM. *See* CX 9, 12, 34, & 38.
56. On or about February 23, 2024, the Malaysia Shipments arrived in Port Klang West, Malaysia. CX 54 (“Call Date: 23 FEB 2024”).
57. On April 26, 2024, Priva notified AIM that CMA CGM was inquiring with Priva as to why the containers under NAM6677014 had not been picked up from Port Klang West by AIM’s consignee. CX 49-50.

58. On May 1, 2024, Priva again followed up with AIM on the status of the containers under NAM6677014 and NAM6677015, which were still idling at Port Klang West. CX 48.
59. On May 2, 2024, AIM informed Priva that its consignee advised the delay was due to a Malaysian Customs hold for inspection. CX 47.
60. On May 13, 2024, Priva received a letter from CMA CGM “Re: Pre-Abandonment Notice for Idle Cargo” (the “Pre-Abandonment Notice”) CX 39.
61. The Pre-Abandonment Notice stated that the containers under bill of lading NAM6677014 remained uncollected at Port Klang West. CMA CGM advised that the failure to resolve the issue has resulted in demurrage charges, which continued to accrue. CMA CGM further requested that the containers be picked up by May 15, 2024, failing which the containers would be considered abandoned and, thereafter, CMA CGM would commence salvage of the goods to “satisfy any and all costs associated with this matter.” The Pre-Abandonment Notice further stated that Priva would “be held liable for any costs in excess of those covered by salvage or resulting from the disposal of the goods.” CX 39.
62. On May 13, 2024, Priva provided the Pre-Abandonment Notice to AIM and requested that AIM “respond in writing by MAY 15, 2024 concerning the resolution of this issue.” CX 47.
63. The NAM6677014 containers were not picked up before May 15, 2024, and AIM did not provide written explanation concerning the resolution of the issue prior thereto. *See* CX 46-47.
64. On May 16, 2024, CMA CGM sent a letter “Re: Abandoned Cargo – Notification of Final Lien” to Priva and AIM (the “Final Lien Letter”). CX 40.

65. The Final Lien Letter stated that the NAM6677014 containers remained idle at Port Klang West and, as such, CMA CGM considered the cargo abandoned. The Final Lien Letter further stated that Priva would be held liable for all amounts related to the costs associated with CMA CGM's disposal efforts. CX 40.
66. On May 16, 2024, Priva provided the Final Lien Letter to AIM. CX 46.
67. Later that same day, Priva's Priyanka Dutta emailed AIM emphasizing the seriousness of the situation, noting that AIM had been provided with multiple reminders to pick up the cargo, had failed to provide any concrete responses, and requesting that AIM "kindly get back to me asap on this." CX 46.
68. On May 22, 2024, Priva again asked AIM for an update on the NAM6677014 containers. CX 45.
69. On May 23, 2024, Priva requested that AIM "please advise clearance update for this booking." CX 45.
70. On May 23, 2024, AIM responded without any additional information: "We are pushing to get confirmation on this shipment hoping to have more information by tomorrow." CX 45.
71. On June 12, 2024, Priva again asked for an update on the NAM6677014 shipment. CX 44.
72. Later that day, AIM responded that its "sales rep is working with our customer at destination But he has advised that the delay is due to customs not the customer." CX 44.
73. On July 18, 2024, Priva again asked AIM for an update. CX 44.
74. AIM employee Daniel Chen (AIM Recycling Hong Kong) provided the following update concerning both the NAM6677014 and NAM6677015 shipments on July 19, 2024: "Due to the long wait and slow releasing process, Rising Streams is trying to divert this BL to Singapore, buyer's agent is working on this and we don't have to do anything. Buyer will

bear all the cost involved. For another shipment belongs to GSM, they are still trying to wait for the release, they said the containers could be picked up soon, but no exact date yet. This buyer guarantees that he will bear all cost as well.” CX 43.

75. On July 31, 2024, Priva forwarded a message from CMA CGM “service delivery”, which requested information about the status of the NAM6677014 containers still idling at Port Klang West. CX 42-43.
76. On August 1, 2024, AIM employee Daniel Chen reported that there was a customs hold on the containers and that Malaysian Customs was processing container inspections slowly. Mr. Chen further stated that “Buyers said they may need another 2 weeks to have the inspection done.” CX 42.
77. On August 6 and 12, 2024, Priva asked AIM for an update as the Malaysia Shipments remained uncleared at Port Klang West. CX 100-102.
78. On August 12, 2024, AIM replied to these emails and asked for confirmation that the freight charges had been paid to CMA CGM, but did not provide an update on the status of the containers’ retrieval from the port. CX 100.
79. On August 13, 2024, Priva confirmed that the freight had been paid to CMA CGM, that there was no freight hold on the containers, and that the containers had been released to AIM. Priva again requested an update on the containers’ clearance at the destination. CX 99.
80. On August 14, 2024, AIM reported that the containers would be inspected tomorrow [August 15, 2024] and requested documentation of the freight payment to CMA CGM. CX 99.
81. Priva provided the invoice showing freight payment to CMA CGM later that day. CX 98.

82. On August 20, 2024, Priva relayed an email from CMA CGM to AIM, which included details of pending charges on the NAM6677014 containers. CX 97.
83. On August 21, 2024, Priva again requested that AIM's consignee, Neptune, promptly address the charges pending on the NAM6677014 containers and pick up the cargo. CX 96.
84. On September 3 and 5, 2024, Priva asked AIM for updates on the idling containers at the urging of CMA CGM. CX 94-95.
85. On September 6, 2024, Mr. Chen, on behalf of AIM, responded: "I have talked to the buyer again today. He said the only thing he knows is that the Port Klang Customs is releasing containers in a very slowly process, since there are hundreds of containers stuck there for inspection due to some e-waste material problem, he cannot promise when the containers will be picked up exactly unfortunately." CX 93.
86. On September 10 and 12, 2024, Priva again asked AIM for a status update because Priva was "getting multiple emails from idle cargo and CMA CGM USA." CX 92-93.
87. On September 13, 2024, AIM responded through its employee, Mr. Chen: "We heard that some of our containers have been inspected by Klang Customs and now waiting for greenlight to pick up, including NAM6677015.... Rest of containers include this NAM6677014 are still queuing in line for inspection." CX 92.
88. On September 23, 2024, Priva forwarded a message received from CMA CGM Idle service delivery, which read: "Please confirm is it u [sic.] until today containers still under customs hold? Kindly advise latest update for below container. Idle is more than 100 days." CX 90-91.

89. On October 2, 2024, Priva asked AIM for an update on the NAM6677014 containers, which were “still uncollected at terminal.” CX 88-89.
90. On October 30, 2024, after receiving no response from AIM, Priva emailed AIM stating: “Any update for the below case? Checking, container still not pull out from terminal. Please advise status for below container.” CX 86-88.
91. AIM responded to Priva on October 31, 2024, with the following: “There are still no updates yet. Rumour had it that the inspection by Malaysia Customs will be done before middle Dec. The containers are held by Malaysia government, neither the shipper, nor consignee are allowed to move the material, even if re-exporting is not allowed. It seems that the shipping line also can do nothing about this situation. All the containers on this CMA vessel has to go under strictly inspection with exact reason unknown.” CX 85-86.
92. On December 4, 2024, Priva followed up with AIM on the status of the Malaysia Shipments. Priva’s email stated: “Please advise on the below. Any update? containers still uncollected at terminal. please advise your reason and estimate to MT return.” CX 85.
93. Emails from CMA CGM to AIM’s consignee Neptune and Priva beginning on July 31, 2024, and running through December 17, 2024, show that Neptune was unresponsive to CMA CGM’s requests for updates. RX 94-106.
94. These same emails show that Priva provided responses to CMA CGM’s requests for information and updates related to the NAM6677014 containers that were idle in Port Klang West. RX 94-106.
95. On January 13, 2025, Priva again asked for AIM to “advise latest status for below containers. Please advise your reason and estimate to MT return.” CX 85.

96. CMA CGM issued Invoice Number NAEC0163666 (the “Misdeclaration Invoice”), dated February 25, 2025, to Priva. The Misdeclaration Invoice contained a total amount due of \$70,000 for the ten (10) containers shipped under booking/bill of lading number NAM6677014. The charge description on the Misdeclaration Invoice reads: “Misdeclaration or Non Compliance with BL Clauses.” CX 54.
97. On March 21, 2025, at 14:17 hours, Priva emailed CMA CGM after having received the Misdeclaration Invoice. Priva disputed the Misdeclaration Invoice and requested waiver of the charges, to wit:

Hello IDLE and Claims,

URGENT ATTENTION REQUIRED

We have received the attached invoice NAEC0163666, totalling USD 70,000 which we dispute as being unjustified. Priva will not assume responsibility for these charges, as they should be billed to the Malaysian customs or the consignee.

We have consistently advised that the containers’ idle status at the port is due to a customs hold.

The containers have been held by Klang Customs since April due to changes in Malaysian customs policy. Their inspection and clearing process is extremely slow, with 500-700 containers still awaiting inspection.

According to our client, the Malaysian government is holding the containers, neither the shipper nor the consignee is permitted to move the cargo, and re-exporting is not allowed.

The client has also stated that the shipping line cannot intervene in this situation. All containers on this CMA vessel are subject to strict inspection, with the exact reason unknown.

I have kept you updated on this matter through my previous correspondence. kindly request that you review our email exchange regarding this matter.

We kindly request that you waive these charges from our account, given the prolonged Malaysian customs inspection.

@Geoffrey, please assist in escalating this matter to the relevant department to expedite resolution.

RX 93-94.

98. On March 21, 2025, at 14:29 hours, Priva emailed AIM the following message with the Misdeclaration Invoice attached:

Hi Daniel & Team,

URGENT ATTENTION REQUIRED

We have received attached misdeclaration invoice from CMA of USD 70,000.

Despite our repeated follow-ups, the containers have remained idle at the port, with your response indicating that they are under inspection.

Although it is the consignee's responsibility to clear the cargo at destination and take necessary actions, IDLE team has been unable to establish contact with the consignee.

We have also informed you that idle charges may be transferred to the POL if consignee contact is not established.

We kindly request that you settle the payment by next week at the latest and arrange for prompt cargo clearance to prevent further accrual of charges.

CX 84-85.

99. Later that day, Priva emailed AIM again, emphasizing the urgency of the situation and the possible injuries to Priva if the issues go unresolved:

As this is an urgent matter, please provide a written confirmation that a local CMA representative in Malaysia is required to assist in resolving the situation as well as a detailed explanation for the current situation and the reasons behind the cargo being idle at the destination for the past year. We need your attention to resolve this matter, as CMA is threatening to block our account until the outstanding payment of \$70,000 is settled.

CX 84.

100. On March 24, 2025, Priva forwarded an email received from CMA CGM explaining that “the containers were held by customs due to misdeclared cargo, and despite their efforts, they were unable to contact the consignee.” Priva also requested that AIM provide “supporting documentation, including cargo descriptions, loading photos, and cargo value to prove your claim that the commodity was correctly declared as aluminum scrap” and “a written confirmation on your company's letterhead stating that a local CMA representative in Malaysia is required to assist in resolving the matter, given the lack of assistance at the destination as well as a detailed explanation for the current situation and the reasons behind the cargo being idle at the destination for the past year.” CX 83-84.

101. Meanwhile, Priva continued to escalate its dispute of the Misdeclaration Invoice with CMA CGM, as shown in email exchanges dated March 21, 2025, through March 25, 2025. RX 83-94.
102. On March 25, 2025, CMA CGM explained that the bill of lading originally issued by CMA CGM contained a cargo description of “Aluminum Alloy.” The bill of lading presented by AIM’s consignee Neptune, however, contained an additional cargo description of “Aluminum Scrap.” CMA CGM further explained that the containers had been held by Malaysian Customs based on the discrepancy between the two bills of lading. CMA CGM asked for an explanation of why the consignee’s bill of lading was not the same as the bill of lading originally issued. RX 83-86.
103. AIM chose not provide the requested information or materials requested to Priva or CMA CGM. Accordingly, on March 25, 2025, Priva informed AIM that CMA reported that the consignee’s bill of lading contained a cargo description of “Aluminum Scrap”, which differed from Priva’s records. Priva asked AIM to investigate with its consignee “to determine what documents they submitted at destination that led to this discrepancy in the cargo description.” Priva also notified AIM that it would copy AIM on any future correspondence with CMA CGM. A copy of the email from CMA CGM, which contained pictures of the original sea waybill and the sea waybill presented by the consignee, explaining the discrepancy was also provided to AIM at this time. CX 80-82.
104. On March 28, 2025, AIM emailed CMA CGM to dispute the Misdeclaration Invoice with Priva in copy. CX 126-127.
105. On March 31, 2025, CMA CGM responded to AIM, explaining further that the discrepancy between the original bill of lading and the bill of lading presented by AIM’s consignee

Neptune “caused this cargo to be held held [sic.] by Malaysian Royal Customs” and, as such, the Misdeclaration Invoice remained valid. CX 124-126.

106. CMA CGM’s March 31, 2025, email also provided a screenshot of an internal CMA CGM email discussing the issue. The internal email shows that CMA CGM’s head office (“HO”) reviewed the dispute and determined that the shipper should be charged \$7,000 per container for the cargo misdeclaration pursuant to bill of lading clause 366 and CMA CGM’s finding that the discrepancy in the bill of lading presented by AIM’s consignee Neptune resulting in the containers being held by Malaysian Royal Customs since *March 31, 2024*. CX 124-125 (emphasis added).
107. On April 2, 2025, at 10:00 hours, Priva emailed AIM requesting a clear understanding of what exactly transpired and the intentions of AIM’s consignee Neptune regarding the containers. Priva’s email indicates that it was seeking this information so that it could help guide the discussions with CMA CGM to quickly resolve the dispute. AIM responded shortly thereafter. RX 108-109.
108. Later that morning, at 10:41 hours, Priva responded to AIM, recognizing that AIM had already begun dispute discussions directly with CMA CGM. Priva stated that it would let AIM take the lead on these discussions with CMA CGM, but remained willing and able to support AIM’s efforts in any way possible, including offering to “brainstorm” with AIM on “how to best handle the situation.” Priva also requested that AIM provide any information available concerning Neptune’s discussions or correspondence with Malaysian Customs and/or CMA CGM’s Malaysian office. RX 107.

109. At 11:37 hours on April 2, 2025, AIM responded to Priva's email, by making a wild and unsubstantiated claim that Priva was not forthright with AIM and that it should "stop questioning HS codes", is if the issue would just go away, stating:

Priyanka,

You didn't tell us the truth since the beginning: CMA Malaysia billed originally the 70K to consignee, and it is only because they can not find the consignee contact information on BL then they billed back to forwarder: if you checked consignee BL CMA provided, they created [sic.] the consignee phone and email info.

This is a simple issue with a very straightforward solution: tell CMA to show you the proof that they could not reach out consignee, or we are able to provide valid consignee contact for them to send the invoice.

Please, stop questioning HS codes, that is the judgement of Malaysia custom should make.

And CMA should never issue BL with 2 conflicting HS Code on one BL.

Again, go back to CMA.

Also, stop harassing our consignees by sending more emails directly to them.

RX 110-111.

110. At 11:55 hours on April 2, 2025, Priva responded to AIM's email. Therein Priva reiterates that it needed all of the relevant information from AIM's consignee Neptune in order to help dispute the Misdeclaration Invoice. Priva states: "Without proper reasoning and facts, I cannot address this matter with CMA, which will mean that the charges will stay valid for AIM to pay Priva. If you want me to help AIM in this case, then I will need proper facts from the consignee so we both have something concrete to present to CMA and demand resolution." Priva further emphasized that it was AIM's responsibility to consult with its consignee to obtain the facts needed to dispute the charge. RX 110.

111. On the afternoon of April 2, 2025, CMA responded to AIM's additional inquiries, with the following explanation:

The 'Misdeclaration or Non-Compliance with BL Clauses' charge applies to cargo that does not meet shipping requirements, resulting in an incident requiring CMA resolution. The cargo is currently held by Royal Customs in Malaysia due to incorrect cargo declaration. The Bill of Lading from CMA CGM described the

cargo as '*aluminium alloy*', while the Bill of Lading from the Consignee described it as '*aluminium scrap*'. For any additional questions regarding the Bill of Lading at the destination, please contact the CMA CGM Malaysia offices. They will be able to provide further assistance with this documentation.

To ensure the immediate release of your cargo at its destination, please confirm payment as soon as it has been made.

Please note that the charge has been reviewed and confirmed as valid by our Head Office, which has the final authority on this matter. Therefore, we cannot remove, modify, offer waivers, or apply discounts to any valid charges.

CX 131 (emphasis original).

112. Mr. Hudson testified that he “couldn’t tell you specifically” whether or not AIM ever asked Neptune if it had requested that CMA CGM alter or amend bill of lading number 6677014. CX 482 (Hudson Depo. p. 162:17 – p. 163:1).
113. When CMA CGM informed Priva and AIM that the cargo hold and Misdeclaration Invoice was based on Neptune’s presentation of an incorrect bill of lading, Priva generated Invoice Number 20040 (the “Priva Invoice”). The Priva Invoice included \$70,000 for the charges within the Misdeclaration Invoice and a \$30,000 charge labeled as “Misdeclaration Penalty.” CX 55.
114. Priyanka Dutta testified that the \$30,000 charge represented “internal administrative charges” that were based on the “significant hours, manpower, resources...for administration, for operations, for accounting, managerial hours, executive hours, to deal with this fallout...due to AIM’s misdeclaration, and their failure to clear the cargo.” Ms. Dutta further explained that the charges were related to Priva’s administrative expenses for the approximately one year’s worth of work, involving hundreds of hours, it performed in direct relation to and as a result of AIM’s failures. CX 370-371 (P. Dutta Depo. p. 91:22 – p. 95:23).

115. Neither the Misdeclaration Invoice nor the Priva Invoice have been paid by AIM. RX 2 (Dutta Declaration, ¶ 10).
116. AIM never offered to pay the amounts due under the Misdeclaration Invoice prior to the parties retaining counsel in this matter. CX 484 (Hudson Dep. p. 169:17 – p. 170:3).
117. The Misdeclaration Invoice remains valid, in effect, and enforceable against Priva according to CMA CGM. RX 34-41.
118. On June 26, 2025, Priva notified AIM that on June 30, 2025, Priva would begin assessing a \$35/per day/per container in damages for Priva's ongoing administrative expenses on the Malaysia Shipment containers. RX 2 (Dutta Declaration, ¶ 12).
119. Like the administrative charge in the Priva Invoice, the \$35 fee is based on Priva's ongoing expenditure of internal manhours and operating expenses for the continued communications, management, and oversight directly related to the Malaysia Shipment containers idling in Port Klang West. CX 389 (Dutta Depo. p. 165:5-24); RX 2 (Dutta Declaration, ¶ 13).
120. As of June 2, 2026, 337 days have elapsed since June 30, 2025, resulting in a total amount of \$235,900 owed to Priva for the 20 Malaysia Shipment containers. RX 2 (Dutta Declaration, ¶ 13).
121. In addition to the amounts owed for the Misdeclaration Invoice, Priva faces potential demurrage, detention, and other charges on the NAM6677014 and NAM6677015 containers, which have not yet been assessed by CMA CGM. RX 34-41.
122. Based on estimates provided by CMA CGM to Priva, the total demurrage potentially owed on the Malaysia Shipments total over \$1.1 million as of November 19, 2025. RX 38.

123. CMA CGM has confirmed that the cargo within the Malaysia Shipments was found to be “Aluminum Flakes / Scraps” and that the cargo was “found to be non-compliant with the Basel Convention.” RX 40.

124. On April 30, 2026, CMA CGM emailed Priva an alarming message concerning its ability to do business with a valued ocean carrier business associate:

Hello Priyanka,

I would like to inform you there has been a change in CMA CGM policy regarding shipments to Malaysia that will have an impact on Priva Logistics.

In an abundance of caution, to avoid any issues with customs or long dwelling containers, we are no longer allowing exports from the US to Malaysia for shippers who have had a misdeclaration of goods, regardless of declared commodity. We understand this is not a restriction levied by the Malaysian government, and that this is a measure we are taking to protect CMA CGM from liability.

We will need to expire out any Q2 rates to Malaysia from your contracts effective immediately.

We understand there are some shipments that are currently in the process of being backed out. Please forward any cases you are receiving to us for review. Thank you for your understanding.

RX 1-4 (Dutta Declaration, ¶ 15 & Ex. A).

125. A sizeable portion of Priva’s business, by volume and revenue, is based on shipments from the U.S. to Malaysia. Based on Priva’s projections, it expected to ship approximately 1,200 TEUs to Malaysia in 2026. RX 2 (Dutta Declaration, ¶ 16).

126. CMA CGM’s decision to no longer accept Malaysia bookings from Priva will significantly impact Priva’s projected volumes and ability to serve its clients for the remainder of 2026 and thereafter. RX 2 (Dutta Declaration, ¶¶ 16-17, 21).

127. Now that CMA CGM has cancelled pending shipments and will no longer take any new export shipment bookings to Malaysia from Priva, Priva stands to lose significant revenues. RX 2 (Dutta Declaration, ¶¶ 18, 21).
128. Priva has sustained significant business and reputational harms as a result of AIM's misconduct, as evidenced by CMA CGM's decision to no longer accept Malaysian export bookings from Priva. RX 2 (Dutta Declaration, ¶¶ 19, 21).
129. AIM has no idea how much time Priva spent working to resolve and address the issues surrounding the Misdeclaration Invoice. CX 484 (Hudson Depo. p. 169:8-12).

Dated: June 2, 2026

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail on the following persons/addresses:

1. Office of the Secretary
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2. Hon. Alex M. Chintella – *Administrative Law Judge*
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Dated: June 2, 2026

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